Taiwan Semiconductor Manufacturing Co.

TSMC-Musk: customer relationship intact; tech/control sharing with Terafab unlikely

Reiterate Rating: BUY | PO: 3,100 TWD | Price: 2,500 TWD

Customer neutrality central to TSMC's foundry model

Elon Musk on Saturday October 3rd responded "*Just discussions, but something may come of it*" to an article discussing the potential manufacturing partnership between TSMC and Terafab. From chipset design and foundry service perspective, we expect a deeper collaboration as Tesla and SpaceX grow at TSMC (2-3% of its sales) directly with their auto/robotics and cloud AI ASICs and indirectly through merchant HPC chipset buys (e.g. GPUs, networking switches) based on our estimate. However, the likelihood of TSMC licensing technology or operating a fab with Terafab holding a meaningful share should be low. Specifically, we would note TSMC's JV fab record is limited including WaferTech, SSMC, VIS, JASM, ESMC and AVSM mostly on mature nodes. The company did not co-own a fab with Apple who contributed ~21% of its revenue from '15-25 mostly on the advanced processes as it keeps full business control and preserves customer neutrality.

Terafab capex insufficient for 1 terawatt capacity target

Based on Terafab's applications under Texas's JETI program, it outlined ~US$119bn of planned investment across 4 phases from '26-36, with ~60% of it on tool procurement. The spending in '26-28 would be highly skewed toward facility construction before it starts to pull in US$6-8bn equipment per annum from '29-36. Based on our estimate of US$600mn+ for every 1k WPM expansion on the advanced nodes in the US, Terafab could only grow its capacity installed base by ~10k WPM per annum at maximum even if it can successfully deliver the technology roadmap through its own R&D effort and Intel partnership. This would prevent Terafab's operation from the economies of scale as the node migration continues, keeping TSMC as the major foundry partner for Tesla/SpaceX.

Stock at mid-cycle supported by robust AI demand pipeline

We keep our Buy rating on TSMC with PO at NT$3,100 on 20x '27 P/E (vs. current 16x).

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	1,173,268	1,717,886	2,857,919	4,041,623	4,872,661
EPS	45.24	66.24	110.20	155.85	187.89
EPS Change (YoY)	39.9%	46.4%	66.4%	41.4%	20.6%
Consensus EPS (Visible Alpha)			107.27	144.40	180.83
Dividend / Share	18.00	22.00	24.00	24.00	24.00
Free Cash Flow / Share	33.55	38.66	67.82	93.64	132.64
ADR EPS (US$)	7.04	10.62	17.27	24.43	29.45
ADR Dividend / Share (US$)	2.80	3.53	3.76	3.76	3.76
Valuation (Dec)					
P/E	55.26x	37.74x	22.69x	16.04x	13.31x
Dividend Yield	0.720%	0.880%	0.960%	0.960%	0.960%
EV / EBITDA*	31.07x	23.50x	15.10x	10.73x	9.08x
Free Cash Flow Yield*	1.34%	1.55%	2.71%	3.75%	5.31%

* For full definitions of iQmethod℠ measures, see page 6.

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Refer to important disclosures on page 7 to 10. Analyst Certification on page 4. Price Objective Basis/Risk on page 4. 13024344

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Stock Data

Price (Common / ADR)	2,500 TWD / 472.78 USD
Price Objective	3,100 TWD / 590.00 USD
Date Established	13-Jul-2026 / 24-Jun-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	1,375 TWD-2,535 TWD
Market Value (mn)	2,032,254 USD
Market Value (mn)	64,830,925 TWD
Shares Outstanding (mn)	25,932.4 / 5,186.5
Average Daily Value (mn)	1,689 USD
Free Float	92.1%
BofA Ticker / Exchange	TSMWF / TAI
BofA Ticker / Exchange	TSM / NYS
Bloomberg / Reuters	2330 TT / 2330.TW
ROE (2026E)	43.0%
Net Dbt to Eqty (Dec-2025A)	-37.3%

SSMC: Systems on Silicon Manufacturing Company

VIS: Vanguard

JASM: Japan Advanced Semiconductor Manufacturing

ESMC: European Semiconductor Manufacturing Company

AVSM: Advanced Vision Semiconductor Manufacturing

iQprofile℠ Taiwan Semiconductor Manufacturing Co.

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	2,894,308	3,809,054	5,477,153	7,711,575	9,150,819
Gross Profit	1,624,354	2,281,294	3,654,584	5,191,137	6,172,734
Sell General & Admin Expense	(96,888)	(99,222)	(108,728)	(131,058)	(147,877)
Operating Profit	1,322,053	1,936,092	3,251,539	4,689,032	5,606,193
Net Interest & Other Income	83,786	105,574	195,028	181,487	266,013
Associates	NA	NA	NA	NA	NA
Pretax Income	1,405,839	2,041,666	3,446,566	4,870,519	5,872,206
Tax (expense) / Benefit	(233,407)	(326,266)	(589,232)	(831,776)	(1,003,016)
Net Income (Adjusted)	1,173,268	1,717,886	2,857,919	4,041,623	4,872,661
Average Fully Diluted Shares Outstanding	25,932	25,933	25,933	25,933	25,933
Key Cash Flow Statement Data					
Net Income	1,173,268	1,717,886	2,857,919	4,041,623	4,872,661
Depreciation & Amortization	662,797	688,096	831,710	1,056,913	1,186,926
Change in Working Capital	(143,010)	(72,100)	(98,157)	(174,757)	(75,653)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	133,123	(58,907)	155,002	77,356	95,369
Cash Flow from Operations	1,826,177	2,274,976	3,746,474	5,001,136	6,079,304
Capital Expenditure	(956,007)	(1,272,411)	(1,987,705)	(2,572,741)	(2,639,515)
(Acquisition) / Disposal of Investments	(58,000)	(37,014)	(59,179)	3,026	189
Other Cash Inflow / (Outflow)	149,164	165,031	118,284	(4,000)	1,931
Cash Flow from Investing	(864,843)	(1,144,393)	(1,928,601)	(2,573,715)	(2,637,395)
Shares Issue / (Repurchase)	(9)	(2)	(1)	0	0
Cost of Dividends Paid	(337,129)	(440,855)	(570,514)	(622,381)	(622,381)
Cash Flow from Financing	(346,301)	(440,345)	(577,519)	(624,257)	(622,960)
Free Cash Flow	870,171	1,002,565	1,758,769	2,428,395	3,439,789
Net Debt	(1,403,733)	(2,035,607)	(3,385,555)	(5,187,796)	(8,007,149)
Change in Net Debt	(556,872)	(647,079)	(1,247,470)	(1,805,040)	(2,819,528)
Key Balance Sheet Data					
Property, Plant & Equipment	3,234,980	3,691,841	5,058,473	6,654,090	8,031,389
Other Non-Current Assets	368,606	424,052	455,441	462,135	463,065
Trade Receivables	272,088	281,791	336,627	425,793	456,634
Cash & Equivalents	2,422,020	3,068,595	4,421,297	6,221,661	9,040,435
Other Current Assets	394,245	466,745	528,263	653,764	729,993
Total Assets	6,691,938	7,933,024	10,800,100	14,417,442	18,721,516
Long-Term Debt	958,429	896,062	887,047	884,597	884,290
Other Non-Current Liabilities	145,408	118,147	180,257	213,694	241,939
Short-Term Debt	59,858	136,926	148,695	149,268	148,995
Other Current Liabilities	1,204,667	1,321,094	1,682,253	1,737,960	1,785,332
Total Liabilities	2,368,362	2,472,229	2,898,251	2,985,518	3,060,557
Total Equity	4,323,576	5,460,795	7,901,849	11,431,924	15,660,959
Total Equity & Liabilities	6,691,938	7,933,024	10,800,100	14,417,442	18,721,516
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	23.2%	28.4%	35.7%	37.1%	32.9%
Return On Equity	30.3%	35.4%	43.0%	42.0%	36.1%
Operating Margin	45.7%	50.8%	59.4%	60.8%	61.3%
EBITDA Margin	68.6%	68.9%	74.6%	74.5%	74.2%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.6x	1.3x	1.3x	1.2x	1.2x
Asset Replacement Ratio	1.4x	1.8x	2.4x	2.4x	2.2x
Tax Rate (Reported)	16.6%	16.0%	17.1%	17.1%	17.1%
Net Debt-to-Equity Ratio	-32.5%	-37.3%	-42.8%	-45.4%	-51.1%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 6.

Company Sector

Semiconductors

Company Description

TSMC was founded in 1987 and is listed in Taiwan (2330TT) and the US (TSM/NYS).TSMC is the largest and global leader in integrated circuit (IC) manufacturing. As a build-to-order foundry, it provides a wide range of value-add activities: IC manufacturing, mask-making, IC design services, turnkey solutions, and process development. We attribute its success to its proven, winning business model, unparalleled scale advantage, optimized execution, and technology scope and depth. 5 shares = 1 ADR.

Investment Rationale

The ongoing semi content growth in mobile, rise of artificial intelligence (AI), and proliferation of Internet of Things (IoT) should result in sustainable upside in aggregate computing power globally. TSMC, as the leading contract manufacturer of semiconductor chips, is in a good position to capitalize. We are structurally positive on TSMC and expect it to sustain over 15% growth with rising FCF from 2026 onwards.

Stock Data

Shares / ADR	5.00
Price to Book Value	8.2x

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Focus tables and charts

Exhibit 1: Terms and definitions
Glossary of abbreviations/acronyms

Term	Definition
AI	Artificial Intelligence
ASIC	Application Specific Integrated Circuit
CoWoS	Chip-on-Wafer-on-Substrate
CoPoS	Chip-on-Panel-on-Substrate
CPU	Central Processing Unit
EV	Electric vehicle
GPU	Graphic Processing Unit
HPC	High-Performance Computing
IC	Integrated Circuit
OSAT	Outsourced Semiconductor Assembly/Testing
TAM	Total Addressable Market
WPM	Wafer per month
WPQ	Wafer per quarter
WPY	Wafer per year
COUPE	Compact Universal Photonic Engine
PIC	photonics IC
EIC	electronics IC
SoIC	System on Integrated Chips
OE	Optical engine

Source: BofA Global Research

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Price objective basis & risk

Taiwan Semiconductor Manufacturing Co. (TSMWF / TSM)
Our PO for TSMC is NT$3,100 per share (US$590 per ADR), based on 20x 2027E P/E. TSMC's valuation has traded in the range of 10-26x PE from 2017. 20x is in the mid to high end of the historical range, above the average P/E of 18x. We think a PE above the average is justified given TSMC's enhanced industry position and mid-40% 5-year CAGR in AI should underpin a rerating

Downside risks to our price objective are: (1) greater-than-expected slowdown in global smartphone/consumer electronics demand, (2) Intel's potential insourcing strategy and ambitions in foundry service, (3) execution risks on advanced nodes, and (4) higher than expected tariffs.

Analyst Certification

I, Haas Liu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMXSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

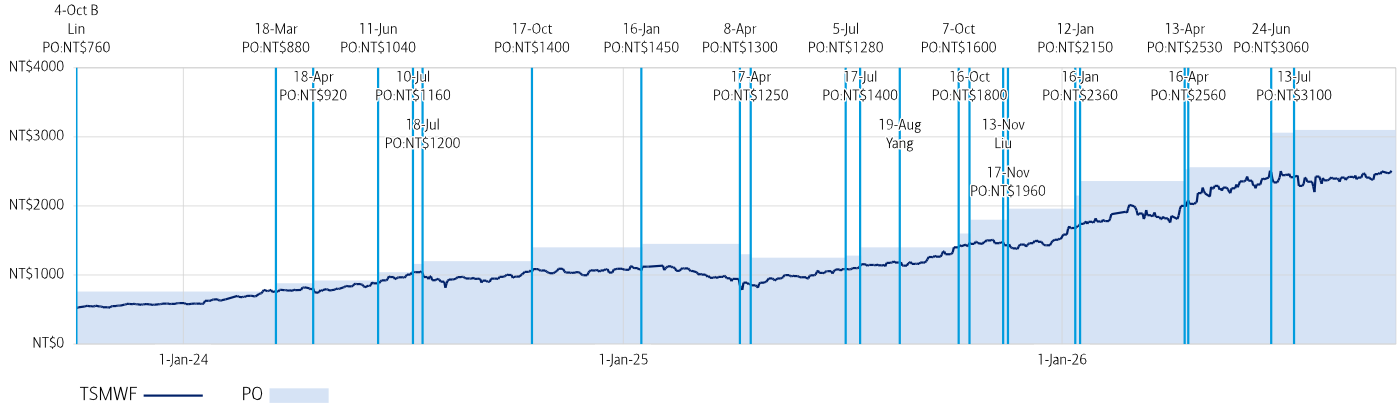
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Important Disclosures

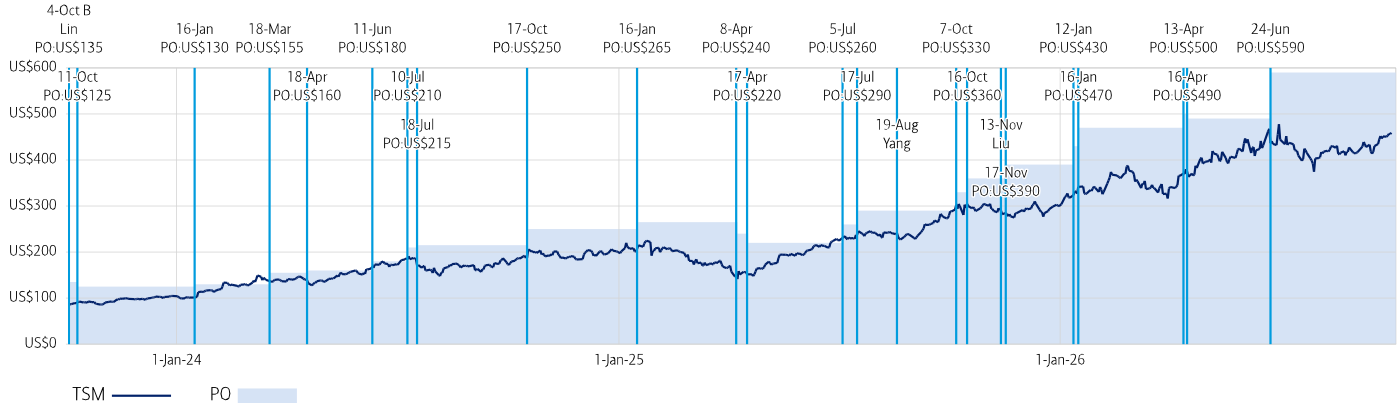
Taiwan Semi Mfg Co (TSMWF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Taiwan Semi Mfg Co (TSM) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. *Coverage Cluster* is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

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